

MEMORANDUM — LITIGATION UPDATE, PROJECT KESTREL (WEEK 3)

To: Deal file. From: Company counsel. Date: August 21, 2026.

On August 19, 2026, Meridian Fulfillment Corp. filed a complaint against Kestrel Robotics, Inc. in the Delaware Court of Chancery (C.A. No. 2026-0841), alleging breach of the service-level provisions of the Master Services Agreement dated March 14, 2022 and seeking damages of approximately \$1.2 million together with a declaratory judgment concerning Meridian's right to withhold disputed fees.

The dispute is unrelated to the proposed transaction. The Company disputes the allegations and intends to defend vigorously. Settlement discussions have not commenced.

Counsel notes that an active commercial dispute with the Company's largest customer may bear on the durability of that relationship following any change of control.